October 29, 2026 03:49 PM GMT

Yageo Corp. | Asia Pacific

3Q26 beat; AI supports a better-than-seasonal 4Q

4Q revenue and margins were guided slightly higher q/q, with utilization expected to exceed 95%. Book-to-bill remains elevated at ~2x and channel inventories are lean; new capacity from 2Q27 should support further growth. Stay OW.

Key Takeaways

- 4Q guidance: revenue, GM, and OpM up slightly q/q – in line with our preview
- AI reached ~20% of the mix, above our estimate; book-to-bill remains elevated at ~2x.
- Channel inventory across the board continued to get leaner exiting 3Q.
- 4Q utilization rate to exceed 95%; new tantalum and MLCC capacity to ramp from 2Q27.

4Q revenue/margin guidance in line with our preview: Management guided for 4Q revenue to increase "slightly" q/q, which we interpret as low-single-digit growth. The growth is primarily driven by stronger demand for AI, with some offset from consumer segments. Management guided for 4Q gross and operating margin to improve "slightly" q/q, which we interpret as 0-3% q/q growth. Overall, we think the guidance supports a better-than-seasonal quarter, which should ease concerns from investors that a weaker consumer market will be a drag for Yageo.

AI revenue reached ~20% of the mix, modestly ahead of our 18–19% estimate: We had anticipated a more gradual increase following the 1% q/q improvement in 2Q. MLCC appears to have been the key growth driver, supported by both higher volumes and pricing, as we highlighted previously. MLCC's revenue contribution rose meaningfully to 21.5% in 3Q from 19.1% in 2Q, implying 25% q/q revenue growth, the strongest among all product segments during the quarter.

Management remains bullish; AI demand underpins elevated utilization and further capacity expansion: Utilization hit 95% across both the standard and premium segments in 3Q; management expects both to exceed 95% in 4Q, supported by robust AI-related demand. As utilization gets full, Yageo is prioritizing efficiency improvements and debottlenecking over the next 3-6 months to unlock incremental output. In parallel, it is expanding capacity, particularly for tantalum capacitors and MLCCs, with new capacity scheduled to come online from 2Q27. Management expects capacity additions of 10-15% across these product categories in 2027, positioning Yageo to support sustained AI-driven demand growth.

Stay OW with price target at NT$1,050: This implies ~24x CY28e P/E; however, PEG is only 0.7x. We favor Yageo for its scale, broad product portfolio across all passive components, and leverage to an improving industry cycle.

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Morgan Stanley appreciates your support in the 2027 Extel Asia Research Survey. Voting opens 10 November 2026.

Yageo Corp. (2327.TW, 2327 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$1,050.00
Up/downside to price target (%)	93
Shr price, close (Oct 29, 2026)	NT$543.00
52-Week Range	NT$1,220.00-218.00
Sh out, dil, curr (mn)	1,997
Mkt cap, curr (mn)	NT$1,084,297
EV, curr (mn)	NT$1,101,036
Avg daily trading value (mn)	NT$20,660

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	11.51	20.39	32.48	43.43
Prior EPS (NT$)**	-	20.14	32.48	43.39
EPS (NT$)§	11.61	19.61	31.64	45.58
Revenue, net (NT$ mn)	132,930	182,939	248,588	302,372
EBITDA (NT$ mn)	39,635	60,807	94,351	123,394
ModelWare net inc (NT $ mn)	23,634	41,873	66,715	89,202
P/E	20.1	26.6	16.7	12.5
P/BV	2.7	5.1	4.3	3.6
RNOA (%)	12.0	21.1	35.6	49.0
ROE (%)	14.5	24.1	30.5	34.4
EV/EBITDA	12.4	17.5	10.8	7.9
Div yld (%)	2.2	1.1	2.3	3.6
FCF yld ratio (%)**	6.6	4.4	6.4	8.1
Leverage (EOP) (%)	9.6	(15.8)	(30.7)	(41.9)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
§ = Consensus data is provided by Refinitiv Estimates
** = Based on consensus methodology
e = Morgan Stanley Research estimates

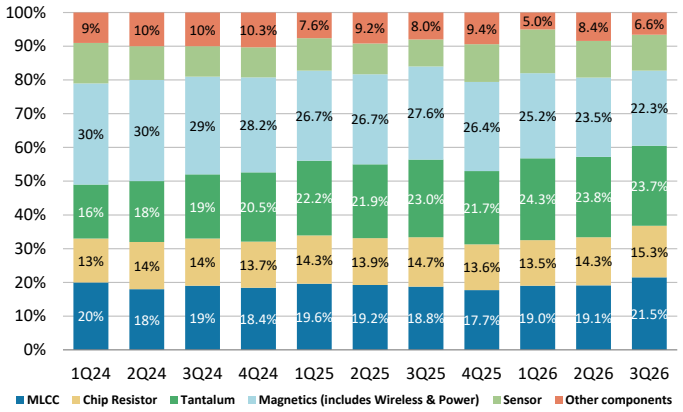
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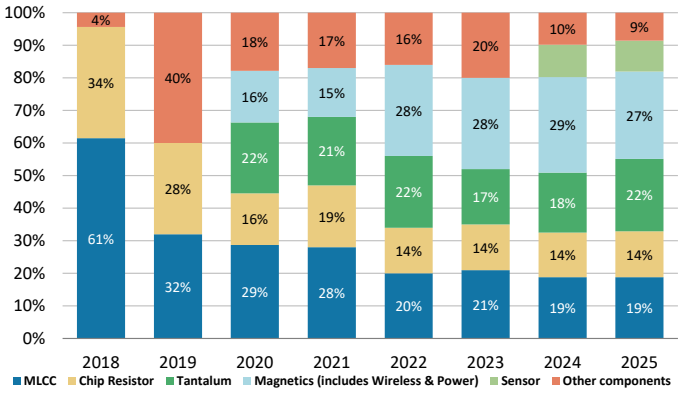
Charts

Exhibit 1: Quarterly Sales, by Product, 1Q24-3Q26



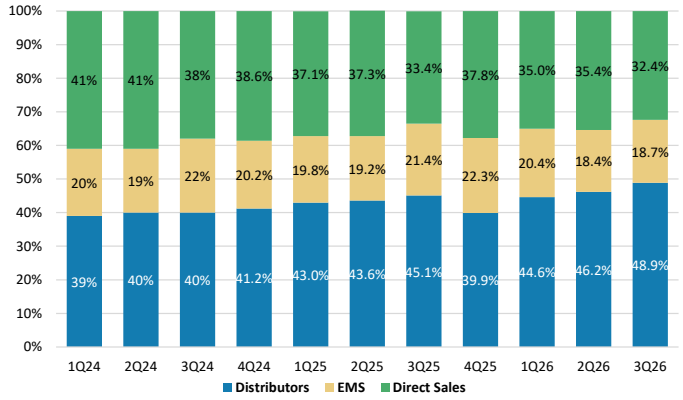
Source: Company data, Morgan Stanley Research

Exhibit 2: Annual Sales, by Product, 2018-25



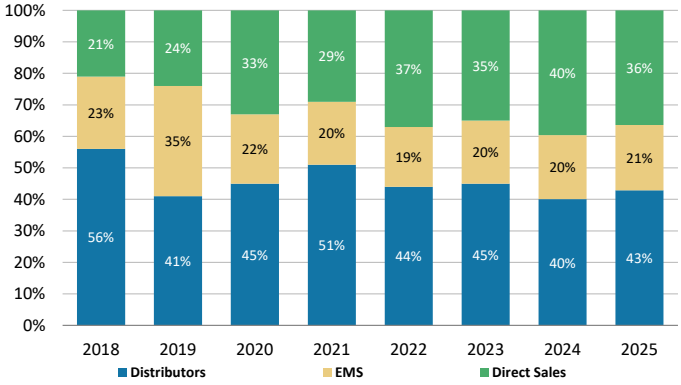
Source: Company data, Morgan Stanley Research

Exhibit 3: Quarterly Sales, by Channel, 1Q24-3Q26



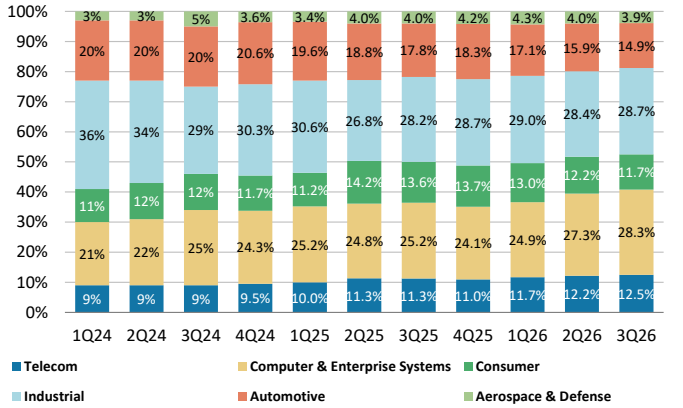
Source: Company data, Morgan Stanley Research

Exhibit 4: Annual Sales, by Channel, 2018-25



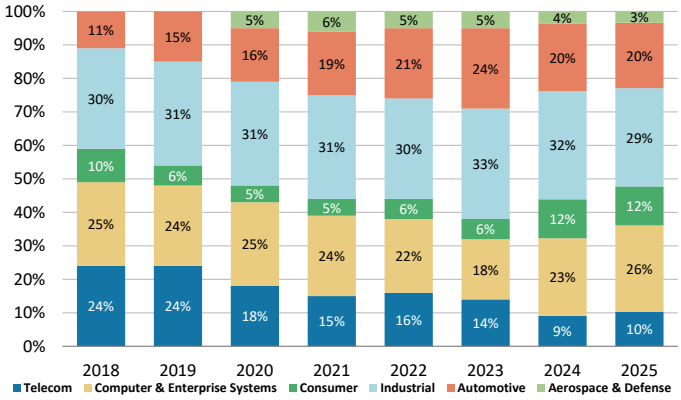
Source: Company data, Morgan Stanley Research

Exhibit 5: Quarterly Sales, by Segment, 1Q24-3Q26



Source: Company data, Morgan Stanley Research

Exhibit 6: Annual Sales, by Segment, 2018-25



Source: Company data, Morgan Stanley Research

3Q26 Results Review

3Q GM beat our estimate and the Street:

- Revenue was NT$49.5bn (+11% q/q, +50% y/y).
- GM at 41.0% (+250bps q/q, +480bps y/y), 60bps above our estimate/110bps above the Street. We believe the buy-side bogey was around 42-43%, implying a modest miss against high expectations.
- OpM was 29.5% (+310bps q/q, +660bps y/y), which is 40bps above our estimate/180bps above the Street.
- Non-op income was ~NT$616mn.
- **As a result, net income was 4% and 9% above our and the Street's estimates –** at NT$12.0bn (+27% q/q, +88% y/y) for EPS of NT$5.83.

Exhibit 7: 3Q26 Results

	Results						
NT$mn	**Actual**	**QoQ**	**YoY**	**MS Est.**	**Variance**	**Cons**	**Variance**
Net sales	**49,532**	**11%**	**50%**	**49,532**	**0%**	**48,682**	**2%**
COGS	-29,224	7%	38%	-29,519	-1%	-29,232	0%
Gross profit	**20,308**	**19%**	**70%**	**20,012**	**1%**	**19,451**	**4%**
Operating expenses	-5,705	6%	29%	-5,604	2%	-5,808	-2%
Operating income	**14,603**	**24%**	**93%**	**14,408**	**1%**	**13,643**	**7%**
Non-operating income	616	30%	-5%	468	32%	496	24%
Pre-tax income	**15,219**	**25%**	**85%**	**14,876**	**2%**	**14,138**	**8%**
Income tax	-3,196	16%	76%	-3,273	-2%	-3,171	1%
Net income	**11,981**	**27%**	**88%**	**11,565**	**4%**	**10,967**	**9%**
EPS (NT$)	**5.83**	**27%**	**88%**	**5.63**	**4%**	**5.34**	**9%**
Margins (%)		***ppt***	***ppt***		***ppt***		***ppt***
Gross margin	41.0%	2.5	4.8	40.4%	0.6	40.0%	1.0
Operating margin	29.5%	3.1	6.6	29.1%	0.4	28.0%	1.5
Pre-tax margin	30.7%	3.2	5.9	30.0%	0.7	29.0%	1.7
Net margin	24.2%	3.0	5.0	23.3%	0.8	22.5%	1.7

Source: Company data, Visible Alpha, Morgan Stanley Research estimates

Estimate Changes

We update our model to reflect the 3Q26 results and the latest guidance from management following the earnings call. Our 2026 EPS estimate increases marginally (1%), while our 2027-28 EPS estimates are virtually unchanged.

Exhibit 8: Estimate Changes

	2026e Earnings Estimates			2027e Earnings Estimates			2028e Earnings Estimates		
NT$ mn	New	Old	Variance	New	Old	Variance	New	Old	Variance
Net sales	**182,939**	**183,232**	**0%**	**248,588**	**253,608**	**-2%**	**302,372**	**308,798**	**-2%**
COGS	-109,781	-110,622	-1%	-137,281	-142,807	-4%	-157,942	-164,980	-4%
Gross profit	**73,158**	**72,610**	**1%**	**111,307**	**110,802**	**0%**	**144,430**	**143,818**	**0%**
Operating expenses	-21,820	-21,595	1%	-26,120	-25,648	2%	-29,903	-29,432	2%
Operating income	51,338	51,015	1%	85,188	85,153	0%	114,527	114,386	0%
Non-operating income	2,269	2,121	7%	1,809	1,809	0%	1,828	1,828	0%
Pre-tax income	53,607	53,136	1%	86,997	86,962	0%	116,355	116,214	0%
Income tax	-11,576	-11,626	0%	-20,116	-20,112	0%	-26,987	-26,943	0%
Net income	**41,873**	**41,360**	**1%**	**66,715**	**66,698**	**0%**	**89,202**	**89,119**	**0%**
EPS (NT$)	**20.39**	**20.14**	**1%**	**32.48**	**32.48**	**0%**	**43.43**	**43.39**	**0%**
Margins (%)			***ppt***			***ppt***			***ppt***
Gross margin	40.0%	39.6%	0.4	44.8%	43.7%	1.1	47.8%	46.6%	1.2
Operating margin	28.1%	27.8%	0.2	34.3%	33.6%	0.7	37.9%	37.0%	0.8
Pre-tax margin	29.3%	29.0%	0.3	35.0%	34.3%	0.7	38.5%	37.6%	0.8
Net margin	22.9%	22.6%	0.3	26.8%	26.3%	0.5	29.5%	28.9%	0.6

Source: Morgan Stanley Research (e) estimates.

Exhibit 9: Morgan Stanley vs. Consensus

Yageo	MSe			Consensus			Variance		
	2026	2027	2028	2026	2027	2028	2026	2027	2028
Revenue	182,939	248,588	302,372	182,739	247,321	305,608	0%	1%	-1%
GM	40.0%	44.8%	47.8%	39.5%	44.8%	48.7%	0.5%	0.0%	-0.9%
OpM	28.1%	34.3%	37.9%	27.4%	33.7%	38.0%	0.7%	0.6%	-0.1%
Net income	41,873	66,715	89,202	40,410	66,558	92,686	4%	0%	-4%
EPS	20.39	32.48	43.43	19.68	32.41	45.13	4%	0%	-4%

Source: Visible Alpha, Morgan Stanley Research estimates.

Price Target Discussion and Valuation Methodology

Our 12-month price target is unchanged at NT$1,050: Our price target is our base case value, derived from our residual income valuation model. Similar to our analysis of other tech hardware companies within our coverage, we think this methodology provides the most accurate value of the firm by taking into account the cost of equity.

Our key assumptions are all unchanged, including:

- Cost of equity of 7.8%
  - Risk-free rate of 1.0% (10-year Taiwanese government bond yield)
  - Equity risk premium of 6.8%
  - Beta of 1.1
- Medium-term growth rate of 12%
- Terminal growth rate of 3%

Our price target implies 32x 2027e P/E and 24x 2028e P/E. These are above its five-year historical range of 8x to 18x, which we view as justified considering its longer-term transformation story to become a global total solutions provider, moving from passive into active components. In addition, compared to global passive component peers, we believe Yageo stock remains undervalued with higher ROE and margins but lower P/E vs. Japanese peers (which trade on an average at 30x+ P/E).

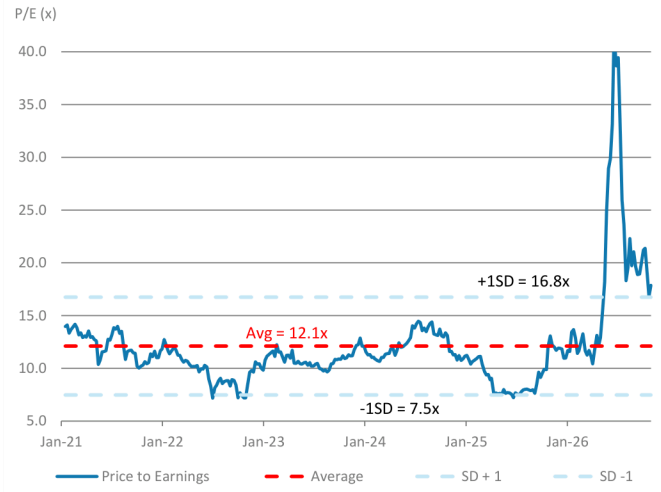
Our bull and bear case scenario values are also unchanged at NT$1,490 and NT$480, respectively.

Exhibit 10: Residual Income (RI) Model

		2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Total Equity		**218,383**	**259,146**	**307,473**	**354,064**	**406,245**	**464,688**	**530,144**	**603,455**	**685,564**	**777,525**	**862,774**
Net Profit		**41,873**	**66,715**	**89,202**	**99,907**	**111,896**	**125,323**	**140,362**	**157,205**	**176,070**	**197,198**	**203,114**
Return on Equity		**21.3%**	**27.9%**	**31.5%**	**30.2%**	**29.4%**	**28.8%**	**28.2%**	**27.7%**	**27.3%**	**27.0%**	**24.8%**
Beta	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Equity Risk Premium (Rm-Rf)	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%
Risk Free Rate (Rf)	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%
Cost of Equity	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%
Residual Income		**23,634**	**44,073**	**61,485**	**69,011**	**76,741**	**85,389**	**95,067**	**105,899**	**118,026**	**131,604**	**132,222**
Spread		**13.6%**	**20.2%**	**23.7%**	**22.4%**	**21.7%**	**21.0%**	**20.5%**	**20.0%**	**19.6%**	**19.2%**	**17.0%**
Beginning Equity Capital		218,383										
PV of Forecast Period		582,846										
PV of Continuing Value		1,355,059										
Equity Value		**2,156,288**										
No. of Shares		2,054										
Projected Price		**1,050.0**										
Implied 2027e PE		32x										
Implied 2028e PE		24x										

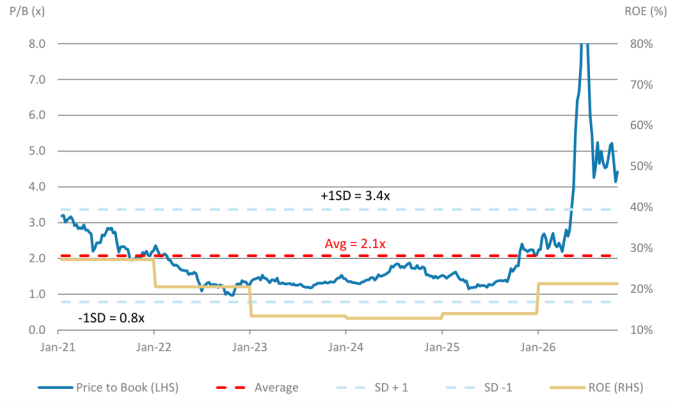
Source: Morgan Stanley Research (E) estimates.

Exhibit 11: Yageo P/E



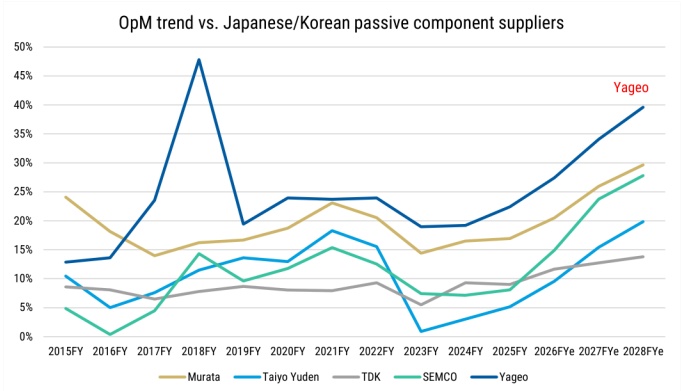
Source: TEJ, Morgan Stanley Research.

Exhibit 12: Yageo P/B



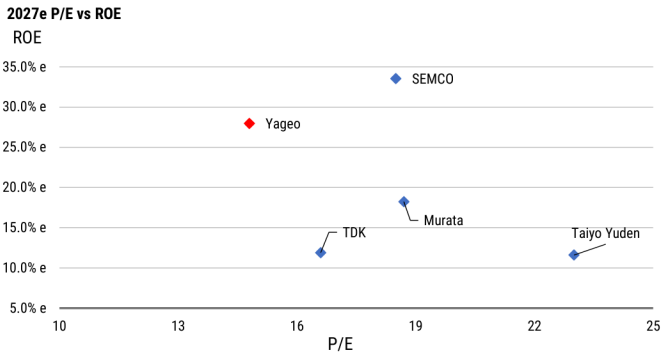
Source: TEJ, Morgan Stanley Research.

Exhibit 13: MLCC peers operating margins



Source: Visible Alpha.

Exhibit 14: 2027e P/E vs. ROE



Source: Morgan Stanley Research estimates.

Risk Reward – Yageo Corp. (2327.TW)

Demand looks stronger and price increases appear likely - stay OW

PRICE TARGET NT$1,050.00

Base case, multistage residual income valuation model. Key assumptions: cost of equity 7.8% (risk-free rate 1%, equity risk premium 6.8% and beta of 1.1), medium-term growth rate 12%, terminal growth rate 3%.

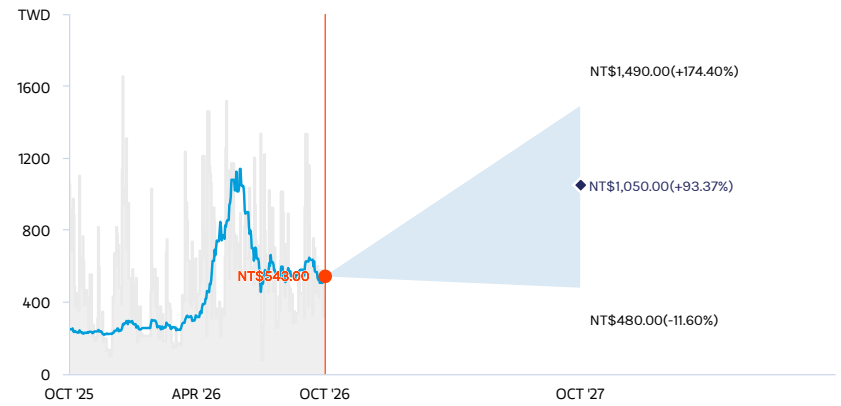
Consensus Price Target Distribution NT$740.00 — NT$1,081.11 — NT$1,450.00

MS PT

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- There is fear that leading Japanese and Korean MLCC suppliers are shifting more capacity to cater to the high end, resulting in undersupply for the midrange/low end.
- The same narrative that drove the 2018 cycle is now back in play.
- Utilization rates are increasing, so suppliers are expecting price hikes for the midrange/low end. Distributors and ODMs are both building inventory.
- AI demand is growing and tantalum capacitor pricing may show further price increases in 2H.
- All of this should help support a re-rating in the stock.

Consensus Rating Distribution

100%	Overweight
0%	Equal-weight
0%	Underweight

● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles:	*Positive*
Self-help:	*Positive*
Special Situation:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$1,490.00

34x 2028e EPS

Demand continues to grow faster than expected in 2027-28: 1) Demand improves significantly, driving pricing power for Yageo in premium and standard products alike. 2) Yageo makes meaningful progress into AI, driving significant share gains. 3) Yageo takes on more acquisition initiatives to further widen its product portfolio. 4) Severe undersupply leads to continued price hikes for an extended period of time, which helps expand Yageo's margins in 2027-28.

BASE CASE NT$1,050.00

24x 2028e EPS

Demand remains strong into 2027-28: 1) Utilization remains high for premium products. 2) Utilization for standard products stabilizes at 70%+ with resilient consumer tech demand. 3) Transformation and synergies are ongoing with continued active initiatives. 4) Yageo continues to drive expansion into the AI realm and slowly gains market share. 5) High utilization rates and inflationary raw material costs result in continued price hikes.

BEAR CASE NT$480.00

11x 2028e EPS

Earnings erode as macro conditions weaken and demand falls again in 2027-28: 1) Non-AI demand weakens from 2H26 onward, despite AI demand remaining strong. 2) Pricing power shifts to end customers with heightened competition among peers. 3) Acquisitions do not bear fruit, resulting in layoffs and leading to cost burdens. 4) Automotive and industrial end demand does not recover, hampering Yageo's premium business. 5) Yageo does not make any material advancements into AI.

Risk Reward – Yageo Corp. (2327.TW)

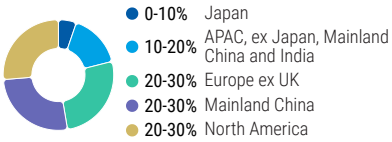
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
MLCC ASP y/y (%)	(18.6)	4.1	46.8	14.9
MLCC GM (%)	31.7	36.6	45.5	49.4
r-chip ASP y/y (%)	(7.0)	10.9	45.5	27.4
r-chip GM (%)	43.4	46.5	51.7	54.8

INVESTMENT DRIVERS

- Transformation into global total solutions service provider
- Premium/standard sales mix
- Utilization rates and capacity
- Inventory and pricing

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

2/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected revenue/profit recognition from stronger AI server/notebook demand
- Further price hikes led by stronger pricing power arising from better demand and/or tighter supply

RISKS TO DOWNSIDE

- Capacity expansion potentially leading to oversupply and downside risks to pricing
- A sudden bursting of demand for AI
- Inventory risk
- Consumer electronics demand risk

OWNERSHIP POSITIONING

Inst. Owners, % Active 70.4%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e

Sales / Revenue (NT$, mn)	212,000	248,588 / 243,603	266,774
EBITDA (NT$, mn)	72,235	94,351 / 92,011	107,892
Net income (NT$, mn)	50,264	66,715 / 64,890	79,745
EPS (NT$)	24.48	32.48 / 31.64	38.84

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Financials

Exhibit 15: Quarterly Earnings Estimates

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E	2028E
Net sales	**31,104**	**32,771**	**33,087**	**35,968**	**38,166**	**44,456**	**49,532**	**50,786**	**132,930**	**182,939**	**248,588**	**302,372**
COGS	(20,018)	(21,119)	(21,112)	(22,551)	(23,624)	(27,340)	(29,224)	(29,593)	(84,800)	(109,781)	(137,281)	(157,942)
Gross profit	**11,086**	**11,652**	**11,974**	**13,417**	**14,542**	**17,116**	**20,308**	**21,192**	**48,130**	**73,158**	**111,307**	**144,430**
Operating expenses	(4,623)	(4,609)	(4,412)	(4,685)	(4,929)	(5,368)	(5,705)	(5,819)	(18,329)	(21,820)	(26,120)	(29,903)
SG&A	(3,758)	(3,774)	(3,578)	(3,800)	(4,035)	(4,461)	(4,780)	(4,876)	(14,910)	(18,152)	(22,115)	(25,535)
R&D	(865)	(834)	(834)	(886)	(894)	(907)	(925)	(943)	(3,419)	(3,669)	(4,004)	(4,368)
Operating income	**6,463**	**7,044**	**7,562**	**8,732**	**9,613**	**11,749**	**14,603**	**15,374**	**29,801**	**51,338**	**85,188**	**114,527**
Non-operating income	**710**	**(15)**	**650**	**(26)**	**712**	**474**	**616**	**468**	**1,319**	**2,269**	**1,809**	**1,828**
Interest income	533	443	379	216	303	345	345	345	1,571	1,339	1,382	1,382
Investment income	117	24	144	195	181	202	222	222	480	827	827	846
Disposal of investment	100	0	0	0	7	0	0	0	100	7	0	0
Exchange gain	(148)	194	(110)	(677)	(139)	(194)	0	0	(742)	(333)	0	0
Other	108	(676)	237	241	359	121	48	(100)	(90)	428	(400)	(400)
Pre-tax income	**7,173**	**7,028**	**8,212**	**8,706**	**10,325**	**12,222**	**15,219**	**15,841**	**31,120**	**53,607**	**86,997**	**116,355**
Income tax	(1,610)	(2,016)	(1,817)	(1,900)	(2,287)	(2,766)	(3,196)	(3,327)	(7,343)	(11,576)	(20,116)	(26,987)
Minority interest	33	14	39	56	37	38	42	42	143	158	166	166
Net income	**5,530**	**4,998**	**6,356**	**6,751**	**8,001**	**9,418**	**11,981**	**12,473**	**23,634**	**41,873**	**66,715**	**89,202**
Adj.wtd.avg.shrs (mn)	2,053	2,053	2,054	2,053	2,054	2,054	2,054	2,054	2,053	2,054	2,054	2,054
EPS	**2.69**	**2.43**	**3.10**	**3.29**	**3.90**	**4.59**	**5.83**	**6.07**	**11.51**	**20.39**	**32.48**	**43.43**
Fully Diluted shares (mn)	2,459	2,456	2,055	2,053	2,054	2,054	2,054	2,054	2,053	2,054	2,054	2,054
Diluted EPS (NT$)	**2.25**	**2.03**	**3.09**	**3.29**	**3.90**	**4.59**	**5.83**	**6.07**	**11.51**	**20.39**	**32.48**	**43.43**
Margins (%)												
Gross Margin	35.6	35.6	36.2	37.3	38.1	38.5	41.0	41.7	36.2	40.0	44.8	47.8
Operating Margin	20.8	21.5	22.9	24.3	25.2	26.4	29.5	30.3	22.4	28.1	34.3	37.9
Pretax Margin	23.1	21.4	24.8	24.2	27.1	27.5	30.7	31.2	23.4	29.3	35.0	38.5
Net Margin	17.8	15.3	19.2	18.8	21.0	21.2	24.2	24.6	17.8	22.9	26.8	29.5
QoQ Growth (%)												
Sales	4	5	1	9	6	16	11	3				
Gross Profit	11	5	3	12	8	18	19	4				
Operating Profit	20	9	7	15	10	22	24	5				
Pretax Profit	15	-2	17	6	19	18	25	4				
Net Profit	49	-10	27	6	19	18	27	4				
YoY Growth (%)												
Sales	9	4	4	20	23	36	50	41	9	38	36	22
Gross Profit	15	6	7	35	31	47	70	58	15	52	52	30
Operating Profit	31	9	14	63	49	67	93	76	27	72	66	34
Pretax Profit	18	-5	15	39	44	74	85	82	16	72	62	34
Net Profit	21	-8	13	82	45	88	88	85	22	77	59	34

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 16: Consolidated Financial Summary

Consolidated Income Statement

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Net sales	**132,930**	**182,939**	**248,588**	**302,372**
COGS	(84,800)	(109,781)	(137,281)	(157,942)
Gross profit	**48,130**	**73,158**	**111,307**	**144,430**
Operating expenses	(18,329)	(21,820)	(26,120)	(29,903)
Operating income	**29,801**	**51,338**	**85,188**	**114,527**
Non-operating income	**1,319**	**2,269**	**1,809**	**1,828**
Interest income	1,571	1,339	1,382	1,382
Investment income	480	827	827	846
Disposal of investment	100	7	-	-
Exchange gain	(742)	(333)	-	-
Other	(90)	428	(400)	(400)
Pre-tax income	**31,120**	**53,607**	**86,997**	**116,355**
Income tax	(7,343)	(11,576)	(20,116)	(26,987)
Minority interests	143	158	166	166
Net income	**23,634**	**41,873**	**66,715**	**89,202**
Adj. wtd. Avg. shrs (m)	2,053	2,054	2,054	2,054
Reported EPS (NT$)	**11.51**	**20.39**	**32.48**	**43.43**
Diluted shrs (m)	2,053	2,054	2,054	2,054
Diluted EPS (NT$)	**11.51**	**20.39**	**32.48**	**43.43**

Consolidated Cash Flow Statement

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Operating Cashflow	**30,863**	**46,444**	**65,954**	**86,999**
Net Profits	23,634	41,873	66,715	89,202
Depreciation & Amort.	9,834	9,469	9,163	8,867
Investment losses/(income)	(581)	(827)	(827)	(846)
Working capital change	(12,663)	(1,126)	(5,239)	(7,064)
Other adjustments	10,944	(2,939)	(3,858)	(3,160)
Investing Cashflow	**(3,725)**	**(7,356)**	**(7,124)**	**(6,935)**
Capex	(6,056)	(8,000)	(8,000)	(8,000)
Change of L/T investment	(4,146)	0	0	0
Change of S/T investment	817	0	0	0
Other adjustments	5,191	0	0	0
Financing Cashflow	**(3,135)**	**10,714**	**(14,704)**	**(31,673)**
Increase in L/T debt	(543)	(1,000)	(1,000)	(1,000)
Increase in S/T debt	7,613	0	0	0
Issuance of stock	0	15,337	0	0
Cash dividends	(10,265)	(12,322)	(25,124)	(40,029)
Other adjustments	61	8,700	11,420	9,356
FX adjustment	(3,647)	333	0	0
Net change in cash	**20,356**	**50,135**	**44,126**	**48,391**

Consolidated Balance Sheet

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Cash	**81,473**	**131,609**	**175,735**	**224,126**
Mkt securities	16,634	16,634	16,634	16,634
AR/NR	27,792	34,144	45,987	58,908
Inventory	31,636	41,104	50,675	56,973
Others	7,811	10,749	14,607	17,767
Current Assets	**165,346**	**234,240**	**303,639**	**374,408**
Long-term investments	45,572	45,572	45,572	45,572
Fixed assets	65,305	63,191	61,153	59,221
Other assets	114,566	114,566	114,566	114,566
Total Assets	**390,789**	**457,570**	**524,930**	**593,767**
S/T borrowings	86,196	86,196	86,196	86,196
AP/NP	18,031	23,343	29,191	33,584
Other ST liabilities	31,852	41,235	51,564	59,324
Total Current Liabilities	**136,079**	**150,774**	**166,951**	**179,104**
L/T debt	57,589	56,589	55,589	54,589
Other LT libilities	23,124	31,824	43,244	52,601
Total Liabilities	**216,793**	**239,187**	**265,784**	**286,294**
Common shares	5,182	20,519	20,519	20,519
Retained Earnings	104,669	133,719	174,482	222,809
Other SH' Equity	64,145	64,145	64,145	64,145
Total Shareholders' Equity	**173,997**	**218,383**	**259,146**	**307,473**
Total Liab./SH's Equity	**390,789**	**457,570**	**524,930**	**593,767**

Consolidated Financial Ratios

	2025	2026E	2027E	2028E
Margins (%)				
Gross margin	36.2	40.0	44.8	47.8
Operating margin	22.4	28.1	34.3	37.9
Pretax margin	23.4	29.3	35.0	38.5
Net margin	17.8	22.9	26.8	29.5
YoY growth (%)				
Sales	9.3	37.6	35.9	21.6
Operating profits	27.4	72.3	65.9	34.4
Pretax profits	15.8	72.3	62.3	33.7
Net profits	22.1	77.2	59.3	33.7
Others				
Cash dividend payout (%)	52%	60%	60%	60%
Cash div (NT$)	6.00	12.23	19.49	26.06
Yield (%)	1%	2%	4%	5%
Net Debt/Equity (%)	26%	-2%	-20%	-33%
Liabilities/Equity (%)	125%	110%	103%	93%
Liabilities/Assets (%)	55%	52%	51%	48%
ROAE (%)	14%	21%	28%	31%
ROAA (%)	6%	10%	14%	16%
AR/NR Turnover (days)	68	62	59	63
Inventory Turnover (days)	128	121	122	124
AP/NP Turnover (days)	71	69	70	73
Cash conversion cycle	125	114	111	115

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 10/1/21 : E/I; 1/4/22 : O/I; 2/5/25 : NA/I; 10/28/25 : O/I

Price Target History: 7/27/21 : 182.18; 10/19/21 : 141.35; 1/4/22 : 188.46; 6/23/22 : 155.48; 8/12/22 : 144.49; 10/28/22 : 116.25; 11/10/22 : 123.75; 1/9/23 : 157.5; 4/12/23 : 158.75; 7/17/23 : 152.5; 7/26/23 : 151.25; 10/18/23 : 150; 11/23/23 : 160; 1/9/24 : 153.75; 3/1/24 : 146.25; 4/11/24 : 177.5; 7/23/24 : 178; 7/30/24 : 181.25; 8/15/24 : 151.75; 9/12/24 : 196.25; 10/21/24 : 193.75; 10/29/24 : 188.75; 2/5/25 : NA; 10/28/25 : 290; 10/31/25 : 293; 2/23/26 : 305; 2/26/26 : 325; 4/9/26 : 330; 4/15/26 : 360; 6/2/26 : 1010; 6/13/26 : 1355; 6/22/26 : 1515; 7/22/26 : 1465; 9/16/26 : 1050

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/29/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$37.86
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb112.34
BYD Electronics (0285.HK)	O (04/28/2023)	HK$22.24
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.88
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb14.32
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb228.40
Genius Electronic Optical Co. Ltd. (3406.TW)	E (10/13/2026)	NT$1,200.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb22.50
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.06
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.79
Largan Precision (3008.TW)	O (10/13/2026)	NT$5,815.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.44
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.22
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$4.89
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$47.38
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb48.07
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb5.67
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.63
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb67.00
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$34.14
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb56.00
Sunny Optical (2382.HK)	E (03/23/2026)	HK$64.05
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb161.60

Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb10.36
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$25.68
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb273.60
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$101.20
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb94.24
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb21.92
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb582.05
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$706.50
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$19.71
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb27.79
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,755.00
Advantech (2395.TW)	O (01/20/2021)	NT$673.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,150.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$3,105.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$34.05
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,465.00
Bizlink (3665.TW)	O (03/10/2025)	NT$1,705.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.63
Chenbro (8210.TW)	O (07/23/2025)	NT$756.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,945.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,480.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$153.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$62.90
Fositek Corp (6805.TW)	O (06/25/2025)	NT$2,425.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$337.00
Innolux (3481.TW)	E (04/07/2025)	NT$46.00
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$9,880.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb26.70
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$252.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.46
Tianma (000050.SZ)	U (01/24/2018)	Rmb5.62
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$32.00
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$950.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$196.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$36.65
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$5,010.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$3.51
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb45.22
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$343.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$1,115.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$248.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb56.18
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$37.22
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,575.00
Lenovo (0992.HK)	O (07/10/2026)	HK$22.14
Lotes Co. Ltd. (3533.TW)	O (10/27/2026)	NT$1,900.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,250.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$104.50
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$318.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb94.12
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb253.80
Unimicron (3037.TW)	O (02/23/2026)	NT$1,040.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$484.00

Wistron Corporation (3231.TW)	O (07/12/2023)	NT$188.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$1,885.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$543.00
Zhen Ding (4958.TW)	++	NT$520.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$438.50
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$1,390.00

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